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**Research & Development Tax Credit
Feasibility Study**

Tides.Network, Inc.

Tax Year 2022

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Tides.Network, Inc. Research & Development Tax Credit Feasibility Study

Enclosed is the preliminary R&D tax credit feasibility study prepared for your review. This report provides a high-level overview of the Research and Development (R&D) Tax Credit under Section 41, a summary of qualifying activities and expenses, and preliminary credit estimates based on the information provided. This study is intended to assist in planning and to support a discussion of the potential federal R&D tax credit benefit. The estimated credit benefit will depend on the company's actual qualified research expenses, gross receipts history, prior-year R&D expenses, available documentation, entity type, tax liability, and other applicable limitations.

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1. R&D Credit Overview

1.1 R&D Credit Overview

- The federal R&D tax credit is available to companies that invest time and resources into developing or improving products, software, processes, techniques, formulas, or other business components.
- Technology, software, manufacturing, engineering, product-development, and process-improvement companies may qualify when the work involves technical uncertainty and experimentation.
- The activity does not have to result in a commercially successful product. Abandoned projects, prototypes, redesigns, and iterative testing may still be relevant if the work was intended to resolve technical uncertainty.
- The credit can reduce federal income tax dollar-for-dollar and, for certain qualified small businesses, may also be available as a payroll tax credit election.

1.2 Payroll Tax Credit Option

- If the company has limited taxable income or is operating at a loss, the R&D credit may still provide a benefit if the company qualifies for the payroll tax credit election.
- The maximum payroll tax credit election is generally \$500,000 per year, subject to applicable limitations.
- This option is only available if the company qualifies as a Qualified Small Business (QSB) for the payroll tax election and must be coordinated with the income tax return and payroll tax filings.

1.3 Domestic R&D Deduction and Section 280C Considerations

- For tax years beginning after December 31, 2024, domestic research or experimental costs may be currently deducted under Section 174A, subject to applicable rules and elections.
- The R&D credit calculation is separate from the deduction calculation, but the two items interact for tax purposes.
- Using the Section 280C reduced credit approach can simplify the presentation by reducing the credit amount instead of requiring a separate reduction to the related deduction.
- In general, the advantage after the recent law change is that qualifying domestic R&D costs may provide both a current deduction and a reduced R&D credit, subject to the company's facts and limitations.
- State tax treatment may be different from federal treatment and should be reviewed separately.

2. Qualifying and Non-Qualifying Activities

2.1 Activities That Qualify

- Developing new or improved software, platforms, applications, tools, or internal systems.
- Improving product functionality, performance, reliability, quality, or efficiency.
- Testing different technical approaches, designs, formulas, prototypes, or engineering methods.
- Resolving technical uncertainty through trial and error, modeling, testing, debugging, or iterative development.
- Designing or improving manufacturing, production, or engineering processes.

2.2 Activities That Generally Do Not Qualify

- Routine maintenance or cosmetic changes that do not involve technical uncertainty.
- Administrative, sales, marketing, customer support, or general management activities.
- Training, implementation, or data entry unrelated to technical development.
- Research conducted after the product or process is ready for commercial use, unless additional qualified development is performed.

3. Qualified Research Expenses Review

3.1 Qualified Research Expenses:

- Wages - paid to employees directly supervising or directly supporting qualified research.
- Supplies - used or consumed in the research process.
- U.S. contractors - eligible payments to performing qualified research on behalf of the company. Commonly, only 65% of eligible U.S. contractor costs are included in qualified research expenses.
- Computer rental - cloud computing, development environment, testing environment, model-training, or usage-based AI compute costs, general hosting

3.2 Foreign R&D Contractors

- Foreign contractor costs are generally not eligible for the federal Section 41 R&D credit.
- Foreign R&D costs generally must be capitalized and amortized over 15 years, which can significantly reduce the current-year deduction.
- For depreciation calculations, we need contractor location, amount paid, estimated time spent on qualified research, and a description of the work performed.

4. Supporting Documentation for Qualified Research Expenses

4.1 General Project Support and Company Description

- Brief description of the company, its products or services, and the business components developed or improved during the year.
- Project descriptions explaining what was developed or improved.
- Description of the technical uncertainty or challenge the company was trying to resolve.
- Evidence of alternatives evaluated, testing performed, and changes made during development.
- Technical notes, design records, engineering reports, product roadmaps, tickets, version history, GitHub/Jira records, prototypes, test results, or project timelines.

4.2 Documentation: Employee Wages

- Employee names, job titles, departments, and role descriptions.
- Description of each employee's involvement in qualified research projects..Payroll records supporting total wages paid during the year, including W-2 wage information when applicable.
- Time tracking, project tracking, management estimates, or other records supporting the percentage of time spent on qualified activities.
- Management should be able to explain and support how wage allocations were determined.

4.3 Documentation: Supplies

- Invoices, receipts, purchase records, or general ledger detail for supplies included in the claim.
- Description of how the supplies were used or consumed in qualified research activities.
- Exclude general office supplies, capital assets, equipment, or costs not directly tied to qualified research.

4.4 Documentation: U.S. Contractors

- Signed contracts, statements of work, proposals, invoices, and payment records.
- Description of the research or development work performed by the contractor.
- Support showing the contractor performed technical development, testing, design, or experimentation rather than routine services.
- Confirmation that the work was performed in the United States when claimed as U.S. contract research.

5. IRS Scrutiny and Management Responsibility

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- R&D credit claims have received increased IRS attention, especially where claims are based on broad estimates, unsupported payroll percentages, or limited project documentation.
- CFO Associates will review the information provided, ask follow-up questions, perform reasonableness checks, and prepare the calculation based on available facts.
- The company must maintain records in sufficient detail to support the activities, projects, employees, contractors, and expenses included in the claim.
- Management is ultimately responsible for confirming that the activities qualify and that adequate documentation exists to support the credit if the IRS examines the return.
- The strongest R&D claims are supported by project-level records, employee involvement, contractor support, and a clear connection between the technical work and the costs claimed.

6. Potential Tax Savings

6.1 C Corporation Tax Impact

- For a C corporation, the federal R&D credit generally reduces corporate income tax dollar-for-dollar, subject to applicable limitations.
- The regular federal corporate income tax rate is 21%, so deductible expenses generally reduce tax at approximately 21 cents per dollar before considering other limitations.
- Foreign R&D amortization can reduce the current-year deduction and may increase taxable income compared with book expenses.
- The net benefit should be modeled by comparing the credit benefit, deduction impact, taxable income, net operating losses, and any payroll tax credit election.

6.2 S Corporation Tax Impact

- For an S corporation, the R&D credit generally flows through to the shareholders and is reported on their individual income tax returns.
- The company-level calculation determines the credit amount, but the actual tax savings is determined at the shareholder level.
- The benefit depends on the shareholders' personal tax situation, income tax liability, basis, passive activity limitations, AMT considerations, and other credit limitations.
- If the company qualifies for the payroll tax credit election, part of the credit may be used against payroll taxes instead of, or before, shareholder-level income tax benefit.

7. Important Limitations and Disclaimers

7.1 Important Limitations and Disclaimers

- All numbers shown in this presentation are estimates unless otherwise stated.
- Actual tax savings may differ based on final qualified research expenses, gross receipts, prior-year data, tax liability, entity type, ownership, payroll election eligibility, net operating losses, and Section 174/174A treatment.
- A credit estimate does not guarantee that the company can use the full credit in the current year.
- The R&D credit should be claimed only when the company has a reasonable basis and adequate records to support both the activities and the related costs.
- This presentation is for planning and discussion purposes and should be finalized after review of the company's actual facts and records.

8. Scenario Analysis

Scenario 1 — R&D Tax Credit Estimate

Company **Tides.Network, Inc.**Tax Year **2022**Entity **C Corporation**280C Election **Yes**

Qualified Research Expenses (QRE)

Wages

\$1,892,070.80

Supplies

\$55,000.00

Computers / Cloud

\$5,000.00

Contract Research (65%)

\$49,180.30

Total QREs

\$2,001,251.10

Credit Calculation Method

Method Applied: **Regular Credit Method — 280C reduced credit (15.8%)**

ESTIMATED FEDERAL R&D TAX CREDIT

\$158,098.84Potential Tax Savings (C Corporation @ 21%) **\$33,200.76**

8. Scenario Analysis

Scenario 2 — R&D Tax Credit Estimate

Company **Tides.Network, Inc.**Tax Year **2023**Entity **C Corporation**280C Election **Yes**

Qualified Research Expenses (QRE)

Wages
\$1,873,212.69Supplies
\$55,000.00Computers / Cloud
\$5,000.00Contract Research (65%)
\$778,561.17**Total QREs**
\$2,711,773.86

Credit Calculation Method

Method Applied: **Regular Credit Method — 280C reduced credit (15.8%)**

ESTIMATED FEDERAL R&D TAX CREDIT

\$214,230.13Potential Tax Savings (C Corporation @ 21%) **\$44,988.33**

8. Scenario Analysis

Scenario 3 — R&D Tax Credit Estimate

Company **Tides.Network, Inc.**Tax Year **2024**Entity **C Corporation**280C Election **Yes**

Qualified Research Expenses (QRE)

Wages
\$2,109,744.02Supplies
\$55,000.00Computers / Cloud
\$5,000.00Contract Research (65%)
\$667,282.66**Total QREs**
\$2,837,026.68

Credit Calculation Method

Method Applied: **Regular Credit Method — 280C reduced credit (15.8%)**

ESTIMATED FEDERAL R&D TAX CREDIT

\$224,125.11Potential Tax Savings (C Corporation @ 21%) **\$47,066.27**